Opella

Consumer Healthcare

POLICY DOCUMENT

Credit Management Policy

Policy Document | Opella Europe | Finance

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Approval and Authorisation

Role	Name	Decision	Date
Finance Director, Europe	Marc Dupont	Approved	27 Mar 2025
VP Commercial Operations, Europe	Sophie Marchetti	Approved	25 Mar 2025
Credit Controller, UK & Europe	Raj Patel	Reviewed	20 Mar 2025
Legal & Compliance, Europe	Isabelle Fontaine	Noted	18 Mar 2025

Version History

Version	Date	Author	Summary of Changes
1.3	01 Apr 2025	R. Patel	Updated effective at Opella operational independence. Section 4 revised to clarify authoritative data source for credit limits (ERP only). Approval authority thresholds updated. Sanofi references removed.
1.2	01 Nov 2024	R. Patel	Interim update during carve-out preparation. Credit limit governance aligned to Opella operating model. Section 6 (TSA period procedures) added.
1.1 (Sanofi)	01 Jan 2023	Sanofi Credit Ops	Inherited Sanofi Consumer Healthcare Credit Management Policy. Not authoritative for Opella operations from April 2025.

Related Documents

Reference	Title	Ver
OPS-EU-CS-SOP-001	Order Management SOP - Opella Europe	2.1
OPS-EU-CS-RACI-001	Order-to-Cash Process RACI Matrix - Opella Europe	1.0
OPS-EU-CS-SOP-002	Returns and Credits SOP - Opella Europe	1.1
OPS-EU-FIN-POL-003	Accounts Receivable Collections Policy	1.0

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1. Purpose and Scope

1.1 Purpose

This policy defines the framework for managing customer credit across Opella Europe. It establishes the principles, processes, and governance requirements for setting and maintaining customer credit limits, managing credit holds, controlling payment terms, and managing overdue accounts.

This policy is mandatory for all Finance, Credit Control, Customer Service, and Account Management personnel involved in any aspect of customer credit management. It is effective from 1 April 2025, the date of Opella's full operational independence from Sanofi.

1.2 Scope

This policy applies to:

- All customer accounts within the Opella Europe commercial region (France, United Kingdom, Germany, Spain, Italy, Benelux, Austria, Switzerland, and wider EMEA).
- All credit limit setting, review, and override decisions for accounts in scope.
- All credit hold decisions, escalations, and releases.
- All payment term negotiations and deviations from standard terms.
- Customer accounts migrated from Sanofi at carve-out, which remain subject to this policy regardless of their historical treatment under Sanofi governance.

1.3 Exclusions

- Intercompany accounts between Opella entities.
- Export accounts in markets outside the Opella Europe commercial region, governed by separate export credit procedures.
- Sanofi accounts under TSA supply arrangements, which are governed by the TSA rather than this policy.

2. Policy Principles

Opella Europe's credit management approach is governed by the following core principles, which must inform all credit decisions:

1. Commercial sustainability: Credit terms exist to enable commercial relationships. Credit decisions must balance the risk of financial loss against the commercial value of the customer relationship. Neither principle overrides the other without escalation to the appropriate approval level.
2. Single system of record: SAP S/4HANA is the sole authoritative source for all customer credit limits and outstanding balance data. No credit decision may be based on data from any other system, document, or verbal communication without Credit Controller validation against the ERP record.
3. Documented governance: All credit decisions - approvals, rejections, holds, releases, and limit changes - must be documented in writing before taking effect. Verbal authorisations are not acceptable.
4. Separation of duties: Credit limit decisions and credit hold releases are the exclusive responsibility of the Credit Controller. Account Managers and CS Representatives do not have authority to approve

credit decisions.

5. Proportionality: The rigour of the credit assessment process must be proportionate to the credit exposure involved. Accounts with limits above EUR 500,000 require enhanced due diligence.

3. Credit Assessment - New Accounts

3.1 Eligibility for Credit Terms

Standard credit terms (as defined in Section 6) are available to all new accounts that pass the credit assessment in this section. Accounts that do not pass the assessment are offered cash-with-order terms only, pending a successful reassessment or the provision of a bank guarantee or surety bond.

3.2 Assessment Requirements

The Account Manager must submit the following information to the Credit Controller before a new account credit limit is set:

Required Item	Description	Minimum Threshold for Credit
Completed Credit Application Form	Signed by an authorised signatory of the customer.	Mandatory for all accounts.
Trade References	Two supplier references from the customer's existing suppliers.	Mandatory for limits above EUR 100,000.
Company Accounts (most recent filed)	Audited financial statements or, for private companies, management accounts.	Mandatory for limits above EUR 250,000.
D&B or Creditsafe Report	Current credit rating report from an approved bureau.	Mandatory for limits above EUR 500,000.
Bank Guarantee / Surety Bond	Required where the requested limit exceeds the bureau recommended limit.	Discretionary - Credit Controller decision.

3.3 Initial Credit Limit Setting

Based on the assessment, the Credit Controller sets an initial credit limit within the approval tiers in Appendix A. The initial limit is documented in writing to the Account Manager within five business days of receiving all required documentation.

For accounts previously served by Sanofi that are establishing direct trading with Opella, the Credit Controller may reference the Sanofi historical trading record as supporting evidence. However, the Opella credit limit is set independently under Opella governance and does not automatically carry over the Sanofi limit.

4. Credit Limit Management

4.1 Authoritative System of Record

SAP S/4HANA (ERP) is the single authoritative system of record for customer credit limits across Opella Europe. The credit limit maintained in SAP S/4HANA is the binding figure for all order release decisions, credit hold assessments, and credit utilisation monitoring.

IMPORTANT - CRM System Data

The SAP CRM system also contains customer account records, including fields that reference credit limits. These CRM credit figures are NOT authoritative and must NOT be used for credit decisions.

Following the legal and operational separation from Sanofi in April 2025, certain customer accounts may show inconsistent credit limit data between the SAP ERP and CRM systems as a result of incomplete data synchronisation during the carve-out migration. In all cases, the ERP (S/4HANA) figure governs.

If a discrepancy between the ERP and CRM credit limit is identified, the Credit Controller must be notified immediately. The CRM record must be updated to reflect the authoritative ERP figure. Personnel must not make credit decisions based on the CRM figure without written Credit Controller confirmation that the CRM figure has been validated against the current ERP record.

4.2 Credit Limit Maintenance

Only the Credit Controller has authority to create or modify customer credit limits in SAP S/4HANA. All limit changes require a written approval record before the SAP update is made. The Credit Controller maintains an audit trail of all limit changes in the credit management log.

- Limit increases require a formal request with supporting trading data and approval within the tiers defined in Appendix A.
- Limit decreases take effect on the next business day after Credit Controller decision. The Account Manager must be notified before the limit is reduced.
- Temporary limit increases (for seasonal peaks or large one-off orders) may be approved for a defined period not exceeding 90 days. All temporary increases must include an expiry date in the SAP record.
- Limit changes arising from annual review take effect from 1 January each year.

4.3 Annual Credit Review Cycle

The Credit Controller initiates the annual credit review in October for all active accounts. The review is completed by 30 November for limit changes to take effect from 1 January.

Review Trigger	Action Required	Approval Authority

Annual cycle (all accounts)	Credit Controller reviews payment performance and adjusts limits if criteria in Section 4.4 are met.	Credit Controller (within tier A), Finance Director (tiers B/C).
Account Manager request (limit increase)	AM submits formal request with last 12 months trading data. Credit Controller completes assessment within 5 business days.	Per Appendix A approval tiers.
Customer financial deterioration	Credit Controller initiates immediate review. Account placed on Credit Review status pending outcome.	Finance Director for reductions above EUR 200,000.
Post-carve-out migration account	All migrated Sanofi accounts are subject to a full Opella credit assessment within 12 months of the April 2025 carve-out date.	Per Appendix A approval tiers.

4.4 Credit Review Criteria

The following criteria trigger an automatic credit limit review when identified during the annual cycle or intra-year monitoring:

- More than two late payments (> 30 days overdue) in the 12-month review period.
- Outstanding balance exceeding 80% of the approved credit limit for more than three consecutive months.
- Material deterioration in publicly available financial information.
- Change of ownership or group structure affecting the customer entity.
- Any invoice under formal dispute for more than 60 days.

5. Credit Hold Procedures

5.1 Automatic Credit Holds

SAP S/4HANA automatically places an order on credit hold when processing the order would cause the customer's outstanding balance to exceed their approved credit limit. An automatic hold may also be triggered by a delinquency flag where the customer has an invoice more than 60 days overdue.

5.2 Manual Credit Holds

The Credit Controller may manually apply a credit hold to an account at any time without an automatic trigger. Manual holds are applied when the Credit Controller has information indicating a material credit risk that warrants suspending order processing pending investigation. The reason for a manual hold must be documented in the SAP account record.

5.3 Credit Hold Response Procedure

1. The CS Representative receives a SAP notification when a credit hold is triggered and must notify the Credit Controller within four business hours of the notification, providing: customer name and SAP account number, order reference and total order value, current outstanding balance, and approved credit limit.
2. The Credit Controller reviews the hold and communicates their decision within four business hours of CS notification. If the Credit Controller is unavailable, the CS Representative escalates to the Finance Director.
3. Credit Controller decision options: (a) Release with documented justification; (b) Approve a temporary limit increase with defined expiry date; (c) Request partial payment before release; (d) Reject order and notify customer.
4. The Credit Controller's decision must be recorded in writing (email is sufficient) and attached to the SAP order record before the hold is released.
5. The CS Representative may not release a credit hold under any circumstances without the Credit Controller's written authorisation. This applies regardless of instructions received from Account Managers or commercial colleagues.
6. If the Credit Controller does not respond within four business hours, the CS Representative escalates to the CS Team Lead, who escalates to the Finance Director.

POLICY REQUIREMENT - No Informal Credit Releases

Releasing a credit hold based on verbal instruction, without written Credit Controller authorisation documented in the SAP order record, constitutes a material policy breach. Breaches will be escalated to the Finance Director and the relevant line manager and may result in formal disciplinary action.

6. Payment Terms

6.1 Standard Payment Terms by Account Tier

Account Tier	Account Type	Standard Terms	Early Payment Discount
Tier 1 - Major Retail	National supermarket chains and pharmacy multiples with annual Opella purchases above EUR 2M.	NET 45 days from invoice date.	1% for payment within 15 days.
Tier 2 - Pharmacy &	Regional pharmacy chains, buying groups, and pharmaceutical wholesalers.	NET 30 days from invoice date.	Not offered as standard.
Tier 3 - Independent	Independent pharmacies, specialist retailers, and other accounts not meeting Tier 1 or 2 criteria.	NET 30 days from invoice date.	Not offered as standard.
New Account (first 6 months)	Any account in its first 6 months of trading with Opella where full credit assessment has not been completed.	NET 14 days or cash-with-order per Credit Controller instruction.	N/A.

6.2 Deviations from Standard Terms

Deviations from the standard payment terms applicable to an account tier require prior written approval from the Finance Director. Deviations agreed with customers by Account Managers without Finance Director approval are not binding and will not be reflected in the SAP customer master.

All approved deviations must be documented in the SAP customer record with the approval reference, the agreed terms, and the period for which the deviation applies. Permanent deviations from standard terms must be included in the customer's commercial agreement.

7. Overdue Account Management

7.1 Overdue Escalation Ladder

Overdue Period	Collections Action	Responsibility	Escalation
1 - 30 days	Automated payment reminder issued by SAP on day 5 post due date.	System automated.	None required.
31 - 60 days	Credit Controller issues formal payment demand by email and telephone. Account flagged for enhanced monitoring.	Credit Controller.	Account Manager notified.
61 - 90 days	Second formal demand. Credit Controller proposes account credit hold to Finance Director.	Credit Controller.	Finance Director and Account Manager.
91+ days	Account placed on credit hold. New orders suspended. Finance Director and Account Manager agree collections strategy. External collections agency referral considered.	Finance Director.	VP Commercial Operations.

7.2 Collections Reporting

The Credit Controller produces a monthly aged debtors report, distributed to the Finance Director and VP Commercial Operations by the 5th working day of each month. The report shows all accounts with outstanding balances, days outstanding, and credit hold status. Accounts more than 60 days overdue are individually reviewed in the monthly Finance and Commercial review meeting.

8. Compliance and Governance

8.1 Policy Compliance

Compliance with this policy is mandatory for all personnel in scope. Non-compliance identified through self-reporting, audit, customer complaint, or management review will be escalated to the Finance Director and the relevant line manager. Serious or repeated non-compliance may result in formal corrective action under Opella's HR performance management process.

8.2 Audit Scope

- Annual audit by Opella Internal Audit: sample review of credit limit changes, credit hold decisions and releases, payment term deviations, and overdue collections actions.
- Quarterly self-assessment by the Credit Controller: review of credit limit data accuracy in SAP S/4HANA against approved credit files, identification of any ERP/CRM data discrepancies, and review of holds pending resolution.
- Post-carve-out data integrity check: a targeted review of all accounts migrated from Sanofi to confirm credit limits in SAP S/4HANA are consistent with the latest approved Opella credit files. Target completion: Q3 2025.

Appendix A: Credit Limit Approval Authority

Credit Limit Band	New Account	Limit Increase	Temporary Increase
Up to EUR 50,000	Credit Controller	Credit Controller	Credit Controller
EUR 50,001 - EUR 250,000	Credit Controller	Credit Controller	Credit Controller
EUR 250,001 - EUR 500,000	Finance Director	Finance Director	Credit Controller (max 30 days)
EUR 500,001 - EUR 1,000,000	Finance Director + VP Comm Ops	Finance Director	Finance Director (max 30 days)
Above EUR 1,000,000	Finance Director + VP Comm Ops + CEO	Finance Director + VP Comm Ops	Finance Director + VP Comm Ops

Appendix B: Credit Application Requirements Checklist

#	Requirement	Mandatory For	Submitted By
1	Completed Opella Credit Application Form (signed)	All new accounts	Account Manager
2	Two trade references from existing suppliers	Limits > EUR 100,000	Account Manager / Customer
3	Most recent filed company accounts or management accounts	Limits > EUR 250,000	Account Manager / Customer
4	D&B or Creditsafe current credit report	Limits > EUR 500,000	Credit Controller
5	Bank guarantee or surety bond	Where requested limit exceeds bureau recommendation	Customer
6	Completed KYC/AML screening confirmation	All new accounts	Finance / Compliance